

Essay: Porter's Five Forces Analysis

Porter's Five Forces looks at competition in an industry. There are five forces which are new entrants, suppliers, buyers, substitutes, and rivalry. New entrants in banking need a lot of money and licenses, so it is hard to enter. Suppliers are not that powerful. Buyers have some power because they can change banks. Substitutes include things like mobile payments. Rivalry is high because there are many banks in South Africa. Banks should try to be competitive by offering good products.